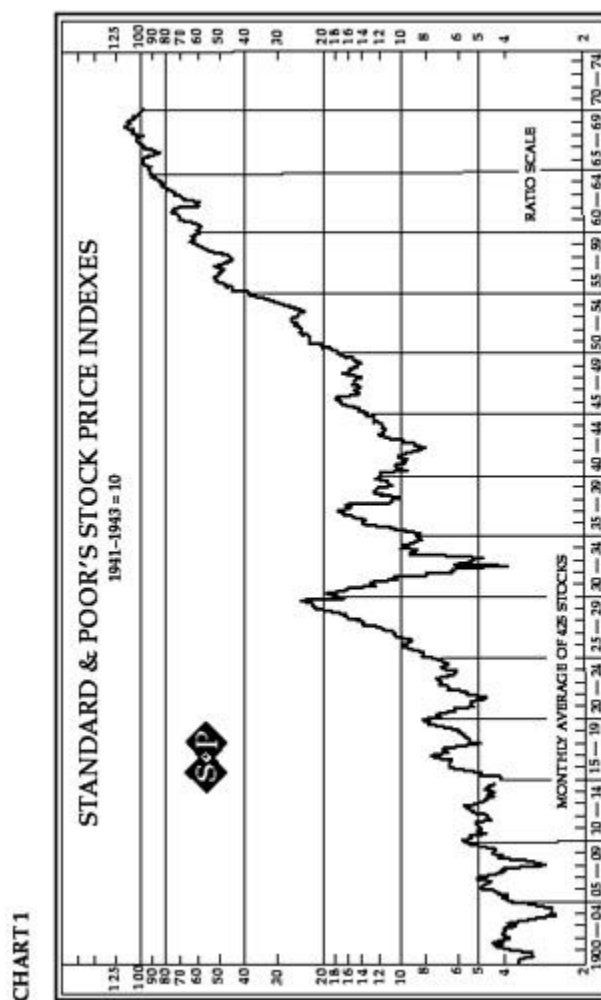




The record of price movements should be supplemented by corresponding figures for earnings and dividends, in order to provide an overall view of what has happened to our share economy over the ten decades. We present a conspectus of this kind in our Table 3-2 (p. 71). It is a good deal to expect from the reader that he study all these figures with care, but for some we hope they will be interesting and instructive.

Let us comment on them as follows: The full decade figures smooth out the year-to-year fluctuations and leave a general picture of persistent growth. Only two of the nine decades after the first show a decrease in earnings and average prices (in 1891-1900 and 1931-1940), and no decade after 1900 shows a decrease in average dividends. But the rates of growth in all three categories are quite variable. In general the performance since World War II has been superior to that of earlier decades, but the advance in the 1960s was less pronounced than that of the 1950s. Today's investor